

economics don't work. They're expensive to print and deliver, with editorial overheads that are much higher than in newsletters. But we didn't know anything about advertising sales. Or about newsstand sales. Or about magazine subscription sales. Or about magazine editorial, for that matter.

We published the magazine for a few years, losing money every year. Eventually, we gave up.

In another failed venture, we took up a satire newspaper. It was "publishing" in a broad sense. But it was several steps away from what we thought we knew. The idea was to lampoon everything that went on in Washington in a weekly newspaper, hand it out all around town, and support it with paid advertising. We imagined people reading it at the office and collapsing on the floor in spasms of laughter. We thought it was so funny radio and TV hosts would quote from it. We even thought that advertisers would call us to place their ads, for we had no advertising sales department.

It never occurred to us that advertisers wouldn't pay to be in a newspaper in which everything was a joke. (In retrospect, we should have tried getting them to pay to NOT be in our newspaper.) Nor did it cross our minds that Washingtonians were Washingtonians because they took the world of politics seriously. Making fun of them was good sport for us, but it was unwelcome to them.

*The Public Spectacle*, as it was called, failed within a few weeks. But it was early in our career and probably well worth the cost to learn an important lesson: Stick to the "one step at a time" rule.

Related to this rule is one given to us by a competitor:

"I take chances all the time," he said. "But I never take a chance so big it could sink the business."

Take small risks. Learn from them. Then, take some more small risks. Never put the business itself in jeopardy, because it is very hard to start a business, and it becomes more and more valuable as you learn more and more lessons.

If you are able to continue long enough, you will have accumulated enough capital and enough lessons that you will be only one step away from substantial success—substantial ventures with large payoffs.